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20th February, 2013

**The Chief Executive
Nairobi Securities Exchange
1st Floor, Nation Centre
Kimathi Street
Nairobi.**

Dear Sir,

**NIC BANK LTD - PUBLICATION OF AUDITED FINANCIAL
STATEMENTS AND DISCLOSURES FOR THE YEAR ENDED 31ST
DECEMBER 2012**

We wish to inform you that our Group and Bank results for the period ended 31st December 2012 have been approved by the Board of Directors.

Please find enclosed a copy of our audited financial statements for the period ended 31st December 2012 together with the dividend notice and other related disclosures.

We intend to publish the same in the Daily Nation and the Standard on Friday 22nd February 2013.

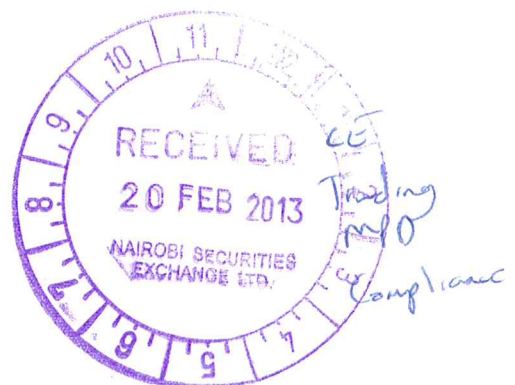
Kindly acknowledge receipt.

Yours faithfully,


L. NJOROGE
HEAD OF FINANCE

Encls

**Cc: The Chief Executive
Capital Markets Authority**



The Board of Directors of NIC Bank Limited is pleased to announce the Audited financial results of the Group and Bank for the period ended 31st December, 2012.

STATEMENT OF FINANCIAL POSITION				
	Group		Bank	
	31st Dec, 2012	31st Dec, 2011	31st Dec, 2012	31st Dec, 2011
	Audited	Audited	Audited	Audited
	Shs '000	Shs '000	Shs '000	Shs '000
ASSETS				
Cash (both Local & Foreign)	1,081,131	718,687	830,855	562,869
Balances due from Central Banks	5,969,831	4,920,229	5,132,414	4,201,757
Kenyan Government securities	9,194,971	3,077,723	9,194,971	3,077,723
Foreign Currency Treasury Bills & Bonds	1,117,292	16,069	-	-
Deposits and balances due from local banking institutions	2,205,588	1,244,990	586,836	635,233
Deposits and balances due from banking institutions abroad	5,983,128	4,447,665	5,983,128	3,851,242
Government and other securities held for dealing purposes	7,165,969	4,406,496	7,027,460	4,139,032
Tax recoverable	17,860	8,690	-	-
Loans and advances to customers (net)	71,540,092	56,624,621	66,381,215	52,025,475
Investment securities	243,931	52,932	-	-
Balances due from group companies	-	-	1,603,250	1,360,846
Investments in associates	-	-	-	-
Investments in subsidiary companies	-	-	2,285,324	1,147,786
Investments in joint ventures	-	-	-	-
Investment properties	-	-	-	-
Property and equipment	1,009,891	967,989	785,612	851,768
Prepaid lease rentals	7,375	7,500	7,375	7,500
Intangible assets	1,127,492	1,037,222	642,337	400,544
Deferred tax asset	257,632	361,842	241,808	348,946
Retirement benefit asset	-	-	-	-
Other assets	1,426,410	1,091,350	1,069,120	970,600
TOTAL ASSETS	108,348,593	78,984,005	101,771,705	73,581,321
LIABILITIES				
Balances due to Central Banks	-	-	-	-
Customer deposits	83,379,576	66,293,053	77,466,042	62,008,953
Deposits and balances due to local banking institutions	598,531	788,647	72,210	206,149
Deposits and balances due to foreign banking institutions	2,972,749	-	2,972,749	-
Other money market deposits	-	-	-	-
Borrowed funds	3,655,414	190,280	3,655,414	190,280
Balances due to group companies	-	-	610,360	322,115
Tax payable	383,325	229,538	382,138	223,321
Dividends payable	-	-	-	-
Deferred tax liability	-	-	-	-
Retirement benefit liability	-	-	-	-
Other liabilities	1,877,376	959,534	1,548,185	730,643
TOTAL LIABILITIES	92,866,971	68,461,052	86,707,098	63,681,461
EQUITY				
Paid up / Assigned capital	2,714,921	1,974,488	2,714,921	1,974,488
Share premium	1,208,799	-	1,208,799	-
Revaluation reserves	(289,798)	(356,384)	124,296	(277,300)
Retained earnings	10,095,639	7,803,398	9,836,433	7,596,429
Statutory loan reserves	687,543	533,581	637,174	507,519
Proposed dividends	542,984	98,724	542,984	98,724
Capital grants	-	-	-	-
Non-controlling interests	14,960,088	10,053,807	15,064,607	9,899,860
TOTAL EQUITY	15,481,622	10,522,953	15,064,607	9,899,860
TOTAL LIABILITIES AND EQUITY	108,348,593	78,984,005	101,771,705	73,581,321

STATEMENT OF COMPREHENSIVE INCOME

	Group		Bank	
	31st Dec, 2012	31st Dec, 2011	31st Dec, 2012	31st Dec, 2011
	Audited	Audited	Audited	Audited
	Shs '000	Shs '000	Shs '000	Shs '000
INTEREST INCOME				
Loans and advances	9,868,592	6,020,072	9,048,895	5,526,584
Government securities	1,161,118	660,195	1,081,419	631,526
Deposits and placements with banking institutions	412,324	137,689	290,551	113,675
Other Interest Income	25,540	13,625	25,540	13,625
TOTAL INTEREST INCOME	11,467,574	6,831,581	10,446,405	6,285,410
INTEREST EXPENSE				
Customer deposits	5,735,877	2,417,373	5,342,007	2,261,284
Deposits and placement from banking institutions	187,865	121,156	124,874	62,211
Other interest expenses	59,964	13,564	59,964	13,564
TOTAL INTEREST EXPENSE	5,983,706	2,552,093	5,526,845	2,337,059
NET INTEREST INCOME	5,483,868	4,279,488	4,919,560	3,948,351
OTHER OPERATING INCOME				
Fees and commissions on loans and advances	510,442	551,683	509,976	461,485
Other fees and commissions	542,670	464,899	429,763	422,252
Foreign exchange trading income	1,164,312	946,410	1,074,248	851,587
Dividend Income	-	-	-	-
Other income	679,106	418,652	480,729	244,154
TOTAL NON-INTEREST INCOME	2,896,530	2,381,644	2,494,716	1,979,478
TOTAL OPERATING INCOME	8,380,398	6,661,132	7,414,276	5,927,829
OPERATING EXPENSES				
Loan loss provision	297,485	258,151	265,264	249,166
Staff costs	1,814,769	1,480,668	1,482,668	1,229,415
Directors' emoluments	163,882	117,582	109,886	97,170
Rental charges	169,317	137,530	101,037	95,846
Depreciation charge on property and equipment	204,471	157,276	173,730	143,259
Amortisation charges	113,461	41,512	97,213	35,572
Other operating expenses	1,099,046	863,465	873,529	716,799
TOTAL OPERATING EXPENSES	3,862,431	3,056,184	3,103,327	2,567,227
Profit before tax and exceptional items	4,517,967	3,604,948	4,310,949	3,360,602
Exceptional items	-	-	-	-
PROFIT AFTER EXCEPTIONAL ITEMS	4,517,967	3,604,948	4,310,949	3,360,602
Current tax	(1,561,372)	(1,070,517)	(1,470,111)	(999,157)
Deferred tax	80,199	172,705	67,024	171,603
PROFIT AFTER TAX AND EXCEPTIONAL ITEMS	3,036,794	2,707,136	2,907,862	2,533,048
	Shs	Shs	Shs	Shs
EARNINGS PER SHARE- BASIC & DILUTED	6.03	5.54	5.87	5.29
INTERIM DIVIDEND PER SHARE - PAID	-	0.25	-	0.25
FINAL DIVIDEND PER SHARE- DECLARED	1.00	0.25	1.00	0.25

OTHER DISCLOSURES

1. NON-PERFORMING LOANS AND ADVANCES		
(a) Gross Non-performing loans and advances		
(b) Less Interest in Suspense	3,209,075	2,721,451
(c) TOTAL NON-PERFORMING LOANS AND ADVANCES (a-b)	1,158,201	1,064,779
(d) Less Loan Loss Provision	2,050,874	1,656,672
(e) NET NON-PERFORMING LOANS AND ADVANCES (c-d)	1,583,147	1,587,162
(f) Discounted Value of Securities	467,727	69,510
(g) NET NPLS EXPOSURE (e-f)	467,727	69,510
2. INSIDER LOANS AND ADVANCES		
(a) Directors, Shareholders and Associates	1,302,049	1,559,786
(b) Employees	620,288	587,883
(c) TOTAL INSIDER LOANS AND ADVANCES AND OTHER FACILITIES	1,922,337	2,147,669
3. OFF-BALANCE SHEET ITEMS		
(a) Letters of credit, guarantees, acceptances	13,486,049	12,829,381
(b) Other contingent liabilities	10,366,805	10,519,850
(c) TOTAL CONTINGENT LIABILITIES	23,852,854	23,349,231
4. CAPITAL STRENGTH		
(a) Core capital	12,569,308	9,073,356
(b) Minimum Statutory Capital	1,000,000	700,000
(c) Excess (a-b)	11,569,308	8,373,356
(d) Supplementary Capital	677,140	547,485
(e) TOTAL CAPITAL (a+d)	13,246,448	9,620,841
(f) TOTAL RISK WEIGHTED ASSETS	80,565,229	60,555,497
(g) Core Capital / Total deposits liabilities	16.29%	14.68%
(h) Minimum statutory ratio	8.00%	8.00%
(i) Excess (g-h)	8.29%	6.68%
(j) Core Capital / Total risk weighted assets	15.60%	14.98%
(k) Minimum statutory ratio	8.00%	8.00%
(l) Excess (j-k)	7.60%	6.98%
(m) Total Capital / Total risk weighted assets	16.44%	15.89%
(n) Minimum statutory ratio	12.00%	12.00%
(o) Excess (m-n)	4.44%	3.89%
5. LIQUIDITY		
(a) Liquidity Ratio	35.38%	27.41%
(b) Minimum statutory ratio	20.00%	20.00%
(c) Excess (a-b)	15.38%	7.41%

The financial statements are extracts from the books of the institution.

By order of the Board,

Livingstone Murage
Group Company Secretary

ANNUAL GENERAL MEETING

Notice is hereby given that the fifty third Annual General Meeting of the shareholders of NIC Bank Limited will be held at the Kenyatta International Conference Centre (KICC) – Tsavo Ball Room, Nairobi, on Wednesday 8th May, 2013 at 11.00a.m.

DIVIDEND

The Directors recommend the payment of a first and final dividend of Shs 1.00 per share (2011 – Shs 0.25 interim dividend and Shs 0.25 final dividend per share). The dividend payment is subject to the approval of the shareholders at the Annual General Meeting and dividend warrants will be posted on or about 8th May, 2013 to all members on the register at the close of business on 27th March, 2013.

The register of members will be closed for one day on 28th March, 2013.

MESSAGE FROM THE DIRECTORS

The Balance Sheet and Profit & Loss statements are extracts from the Bank's financial statements as audited by Deloitte & Touché and have received an unqualified opinion.

A full set of published accounts will be available from our Registrars and Transfers Office, Custody & Registrar Services Ltd, Bruce House, Nairobi and online at www.nic-bank.com after approval by members at the Annual General Meeting.

The financial statements were approved and authorized for issue by the Board of Directors on 20th February 2013 and were signed on its behalf by:

J P M Ndegwa
Chairman

J W Macharia
Group Managing Director

F N Mwanzia
Director

Livingstone Murage
Group Company Secretary